If you're thinking of shorting a stock, look for a knot of support closest to the bottom of the complex top. In Figure 42.5, for example, it's the sideways move in mid-July, just before price zips higher into the left shoulder. Look for at least 3 days of price moving sideways with lots of overlap.

The first drop out of the complex top will find that knot and either stall there or turn into a pullback. But the *top* of that knot is your swing target. We see price return to the price of that knot in November and turn upward. The knot of support should be the first one *below* the confirmation price. It makes for a great swing trading target. Chapter 1 gives a good tutorial on knots.

- Look for knots close by.

Here's another tip: The figures in this book are nice-looking complex tops, many with straight-line runs leading to the start of the complex head-and-shoulders. However, what I'm seeing now, in the 2020s, looks like a slightly taller mountain in a mountain range. Thus, trying to pick how far price might drop is more difficult.

The knot scenario described above still works, though. However, do look at prior peaks and valleys to assess how far price might drop. The peak or valley would be a location above the knot, so it would be a closer target.

- Look for underlying support set up by prior peaks, valleys, and consolidation regions.

If you do see a head-and-shoulders sitting atop a mountain with the hills far below, then expect a larger decline. These setups will be rare, but they are the ones that will make you the most money. Look at the run up to the complex top. If it's a straight-line run, then perhaps price will return to bottom just above the launch price. Figure 42.2 shows the setup you're looking for.

- Sometimes a quick decline follows a quick rise.

In many cases, I see a complex top forming at the end of a horizontal price move. That's a number of peaks where price has moved sideways for a year